

**Time:** 5 minutes**Outcome:** Analyze seigniorage, the inflation tax, disinflation, and deflation burdens.**Difficulty:** ●●○ Intermediate

Inflation Tax and Deflation



THE CORE IDEA

Money creation can finance government spending by reducing the purchasing power of existing money balances, an effect called the inflation tax. The inflation tax reduces the purchasing power of money people already hold. Money-financed government spending can erode the purchasing power of existing money balances; that loss is called the inflation tax. Printing money can finance spending, but it reduces the value of money and can create high inflation. Inflation acts like a tax on money holders by reducing the purchasing power of their cash balances.



HOW TO RECOGNIZE IT

- Printing money can finance spending, but it reduces the value of money and can create high inflation.
- Inflation acts like a tax on money holders by reducing the purchasing power of their cash balances.
- Printing money to finance spending creates an inflation tax because it reduces the purchasing power of money people already hold.
- A government creates money to finance purchases, the price level rises, and households' existing cash buys less.
- Printing money can act like an inflation tax by reducing the purchasing power of money.



WATCH OUT

Do not assume a tax must always be explicit and legislative. Inflation acts like a tax on money holders by reducing the purchasing power of their cash balances.



WORKED EXAMPLE: PURCHASING POWER OF CASH

A household holds \$1,000 in cash while the price level rises 10%. The cash balance still says \$1,000, but it now buys roughly 10% less. That loss of purchasing power is the inflation-tax burden on money holders when money creation helps finance government spending.



CHECK YOURSELF

A student looks for an "inflation tax" line on a tax return. What is the best correction?

**READY?**

Return to the game and master this concept.